Kedros Analytics

CAPITAL BUDGETING

Fund What Creates Value

Every sponsor believes their project deserves funding. Rank them all on one number: the value they add after discounting for time and risk.

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THE OPPORTUNITY

A stack of requests, each told as a story

A production line, a warehouse, a fleet, an IT overhaul: every sponsor believes theirs deserves the money.

THE STORY

“This will modernize the plant.”

“This department hasn’t had capex in years.”

None of it is wrong, but none of it says whether the project makes the company richer or poorer.

THE QUESTION

Does the money it returns, discounted for time and risk, exceed the money it costs?

Net Present Value answers it in one number: the value the project adds today.

WHAT IT IS

From “this sounds like a good idea” to a ranked list

Every proposal scored on the same criteria, whichever department or sponsor it comes from.

1

Your proposals

Sponsor, asset type, outlay, useful life, hurdle rate, cash-flow forecast and salvage value.

2

Validate and score

Bad submissions are rejected. The rest get NPV, IRR, payback and Profitability Index.

3

Ranked decision

Projects ranked by NPV, with Accept where NPV is above zero.

Demo: 20 valid proposals, plus 4 records deliberately broken to test the checks.

WHAT YOU GAIN

Six ways it pays off for a small business

1 One objective ranking

Manufacturing, warehouse, fleet or R&D: all scored on the same basis.

2 NPV as the source of truth

The Accept line sits at NPV above zero, avoiding approvals driven by IRR or fast payback.

3 Bad proposals stay out

Negative budgets, mismatched cash flows and out-of-policy rates are caught first.

4 An audit trail

Every rejection is logged with its reason, for the sponsor who asks why.

5 One usable artifact

A color-coded Excel workbook, from executive summary down to raw assumptions.

6 Reproducible

The same inputs give the same recommendations, ready to re-run or hand to an auditor.

Highlighted: where the framework earns its keep fastest.

CATCHING BAD SUBMISSIONS

Four broken records, four stated reasons

Checked before any project is scored, so a bad submission cannot distort the ranking.

Negative outlay

An investment cannot cost less than nothing.

3 cash flows, 6-year life

The forecast must have as many entries as the stated useful life.

Unapproved asset type

“Cryptocurrency Mining Rig” is not on the firm’s approved list.

85% discount rate

Clearly a data-entry error, not a hurdle rate.

Every rejection is logged, so a sponsor asking “why wasn’t my project considered?” gets an answer.

THE TRAP NPV AVOIDS

The highest IRR is not the biggest value

Three of the 20 proposals, side by side.

PRJ-0008 · R&D FACILITY

29.45%

Highest IRR in the portfolio.

Invests $621,155 and adds $229,956 of value.

PRJ-0001 · RENEWABLES

$311,531

35% more value, at a 20.41% IRR.

A larger project with a strong return beats a small one with a spectacular one.

PRJ-0012 · ROBOTICS

−$599,517

The largest request, the worst outcome.

Asks for $1.93M at a 5.09% IRR. Reject.

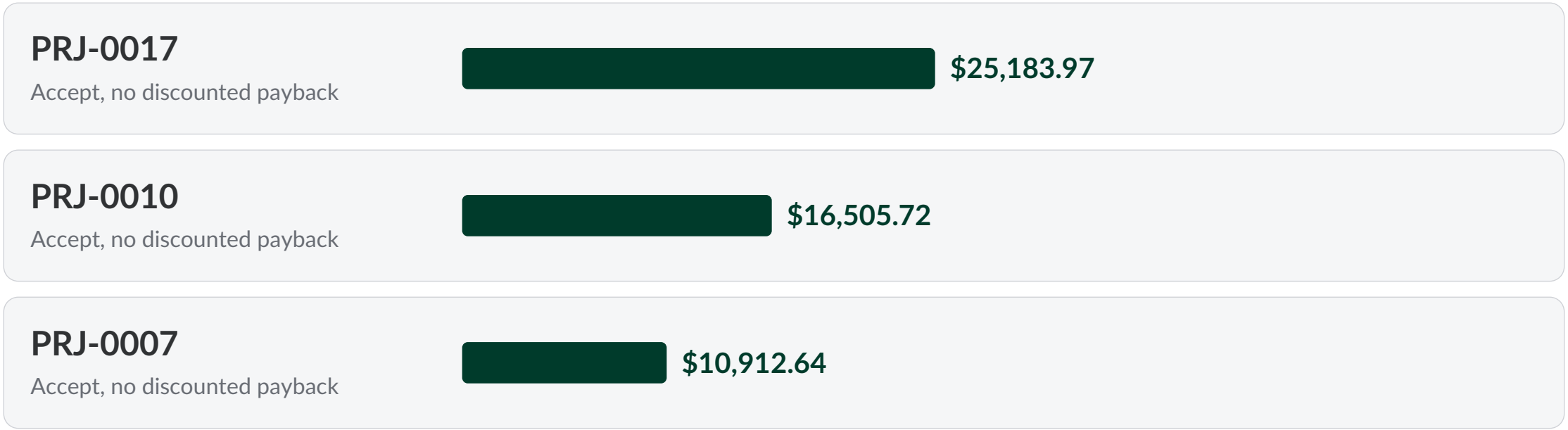
Size and quality of a proposal are unrelated. Rank by NPV, then cross-check IRR.

Synthetic demo data. First two cards: IRR and NPV added; third card: NPV.

A SUBTLER FLAG

Three accepts that deserve a second look

NPV of the three lowest accepts. Each shows a blank discounted payback period.



They clear NPV only through salvage value, 5–9% of the outlay in the final year. Operating cash flows never repay the outlay.

BUSINESS IMPACT

The value is on the side you do not fund

11 of the 20 valid proposals clear NPV above zero. Nine do not.

$3.6M

swing between funding what clears NPV above zero and funding everything proposed.

+$1.30M NPV created

$11.24M committed to the 11 accepted projects, at an average 16.27% IRR.

−$2.31M if the rest were funded

The 9 rejected proposals asked for $11.22M, almost exactly as much.

GET STARTED

What to do this week

Five steps from your next batch of requests to a ranked list.

1

Gather

Proposals in one shape: sponsor, asset type, outlay, life, hurdle rate, cash flows, salvage.

2

Validate

Read the rejected records first. A mismatched schedule or rate skews a ranking.

3

Rank

Rank by NPV. Cross-check IRR for anything that ranks high on IRR alone.

4

Flag

Look twice at accepts with a blank or near-life discounted payback.

5

Repeat

Re-run each planning cycle. Forecasts and the cost of capital drift.

Pitch the process itself: total NPV and capital committed, and the value avoided, usually persuade leadership best.

KEEP IT HONEST

The limits worth keeping in mind

The output is an input to an investment committee’s decision, not the decision itself.

1 Only as good as the forecast

An optimistic cash-flow forecast gives an optimistic NPV. Garbage in, garbage out.

2 The discount rate must be right

One hurdle rate per project is a simplification. The demo takes the submitted rate at face value.

3 NPV is not everything

Strategic fit, regulation and prerequisite projects need separate judgment.

4 Not financial advice

Synthetic data, for education. No allocation decision should rest on its output alone.

HOW KEDROS ANALYTICS CAN HELP

Try it on your own data, with a free proof of concept

Business questions first, AI as a tool and not a hype machine, and results you can act on straight away.

1

Validate

Check your capex intake for mismatched cash flows, bad rates and unapproved asset types.

2

Score and rank

Compute NPV, IRR, payback and Profitability Index, and flag the marginal accepts.

3

Decide and track

Take a ranked, auditable list to your investment committee and re-run each cycle.

Free PoC: tailored to your requirements and your company's analytics maturity.

Kedros Analytics

Ready to see which projects your capital should be tied to?

Let’s spend thirty minutes on your capital requests. No commitment, no jargon, and we might even plan a free PoC.

Book a free call

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